

From: Susanne Hoskin
To: Jerry Pettys; Keeling, Paul
Date: 9/24/2025 9:48 AM
Subject: NTCA GATT Rate

Hi Jerry,

The email sent out from NTCA is correct. It does rely on the interest rates, but there are other factors involved, which is called the GATT rate. Below is a perfect description, but if you still have questions, then you should call NTCA Customer Service and talk to them directly. Jane is always traveling and is not available most of the time. Contact NTCA benefits resource specialists at (828) 281-9000, Monday – Friday, 9 a.m. – 7 p.m. ET or by email at benefitsresource@ntca.org

The GATT rate is a series of interest rates, derived from long-term U.S. Treasury bonds, used to calculate the present value of future pension payments. It is most notably used for determining the lump-sum payout option of a pension, with higher GATT rates resulting in smaller lump sums and lower GATT rates leading to larger payouts. 

How the GATT Rate Works

- **Discounting Future Payments:** When a retiree chooses a lump-sum payout instead of regular monthly payments, the GATT rate is used to discount those future payments into a single, present-day lump-sum amount. 
- **Inverse Relationship with Lump Sum:** There is an inverse relationship between the GATT rate and the lump-sum value. 
 - **Higher GATT Rate:** A higher rate leads to a larger discount on future payments, resulting in a smaller lump-sum payout. 
 - **Lower GATT Rate:** A lower rate results in less discounting, which increases the lump-sum value. 

Susanne Hoskin

HR Administrator

Phone [701.858.5160](tel:701.858.5160)

Cell [701.833.0160](tel:701.833.0160)

Email susanneh@srttel.com



3615 N Broadway
PO BOX 2027 / Minot, ND 58702
800.737.9130 / 701.858.1200